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HUM 4641: Accounting

MID

①

Answer to the question no: 3

"a"

Navid believes that the criterion for which a business event become a transaction is "The company's cash must be affected."

But he is not correct. A transaction is a business event that changes a company's financial position. Not all transactions affect a company's cash, but still they are considered as a transaction. But all transactions affect the financial position of the company.

So, the correct criterion should be ~~"they are"~~ "The company's financial position must be affected."

"b"

(i) Required to find: Cost of goods sold for 2011.

Given, inventory turnover is 3.5 times.

We know,

$$\text{inventory turnover} = \frac{\text{Cost of goods sold}}{\text{avg. inventory.}}$$

$$\begin{aligned} \Rightarrow \text{Cost of goods sold} &= (\text{avg. inventory}) \times \text{inventory turnover} \\ &= \frac{200,000 + 180,000}{2} \times 3.5 \\ &= \$665,000. \end{aligned}$$

(ii) Required to find Net sales (credit) for 2011.

Given, receivables turnover is 88 times.

We know,

$$\text{receivables turnover} = \frac{\text{net sales (credit)}}{\text{avg. net receivables}}$$

$$\begin{aligned} \therefore \text{net sales (credit)} &= \text{receivables turnover} \times \text{avg. net receivables} \\ &= 88 \times \frac{72,500 + 126,000}{2} \end{aligned}$$

$$= \$ 873,400$$

(iii) Required to find net income for 2014.

Given, return on common stockholders' equity is 24%.

$$\text{return on common stockholders' equity} = \frac{\text{dividends}}{\text{avg. common stockholders' equity}} \times 100\%$$

$$\Rightarrow \frac{24\%}{100} = \frac{\text{dividends}}{\text{avg. common stockholders' equity}}$$

$$\therefore \text{dividends} = 0.24 \times \frac{(400,000 + 113,500) + (400,000 + 101,000)}{2}$$

$$= \$ 121,740$$

(iv) Given, return on assets is 20%.

and, total assets at Dec 31, 2010 was \$605,000

Nw,

$$\text{return on assets} = \frac{\text{net income}}{\text{avg. assets}} \times 100\%$$

$$\Rightarrow \frac{x + 605,000}{2} = \frac{\text{net income}}{\text{return on assets}}$$

$$\Rightarrow x = \frac{121,740}{0.2} \times 2 - 605,000$$

$$\Rightarrow x = 612,400 \text{ (Ans.)}$$

"C"

$$(i) \text{ Inventory turnover} = \frac{\text{Cost of goods sold}}{\text{avg. inventory}} \text{ times.}$$

$$= \frac{380,000}{\frac{95,000 + 85,000}{2}}$$

$$= 4.22 \text{ times.}$$

$$(ii) \text{ Return of common stockholders' equity} = \frac{\text{dividends}}{\text{avg. common stockholders' equity}} \%$$

$$= \frac{50,000}{\frac{400,000 + 30,000 + 300,000 + 15,000}{2}}$$

$$= 13.24 \%$$

(iii)

$$\text{Payout ratio} = \frac{\text{Cash dividends}}{\text{net income}} \%$$

$$= \frac{20,000}{50,000} \%$$

$$= 40\%$$

(iv)

$$\text{Debt to total asset ratio} = \frac{\text{total debt}}{\text{total assets}} \%$$

$$= \frac{530,000}{60,000 + 40,000}$$

$$= 5.3:1 \text{ (Ans.)}$$

(6)

Answer to the question no: 2"a"

A cloth store makes a cloth sale on Nov 30 for \$1,000.

According to the Revenue Recognition Principle this \$1,000 is considered to be earned on November 30 because that is when the service was provided.

"b"

Closing Entries, December 31.

Account title		Debit	Credit
Income Summary	Dr.	8,000	
R. Hancock, Capital	Cr.		8,000
R. Hancock, Capital	Dr.	15,000	
R. Hancock, Drawing	Cr.		15,000

"C"

Givens Graphics Company
Adjusting Entries

June 30, 2018

Account Title	Debit	Credit
• Supplies Expense Dr. • Supplies Cr.	2,400	2,400
• Interest Expense Dr. • Notes payable Cr.	9,000	9,000
• Insurance Expense Dr. • Prepaid Insurance Cr.	600	600
Advertising Revenue Cr.		
• Accounts Receivable Dr. • Graphics Revenue Cr.	2,000	2,000
• Depreciation Expense Dr. Accumulated Depreciation Cr.	1,000	1,000

Givens, Graphics Company
Adjusted Trial Balance.

Debits	
Cash	9,500
Accounts Receivable	16,000
Equipment	45,000
Insurance Expense	2,400
Salary Expense	39,000
Supplies Expense	6,100
Ad expense	1,900
Rent Expense	1,500
Utilities Expense	1,700
Interest Expense	9,000
Depreciation Expense	2,000
Total	: 129,100

Credits	
Notes Payable	\$29,000
Accounts Payable	9,000
Sue Green, Capital	22,000
Graphic Revenue	54,100
Prepaid Insurance	600
Accumulated Depreciation	1,000
Supplies	2,400
Consulting Revenue	6,000
Total	: 124,100

Answer to the question 1:

"a"

Zubayer believes that double entry system means each transaction must be recorded twice. Double entry system refers to the fact that each transaction will effect at least 2 accounts. So, yes each transaction is recorded twice and each time two different accounts are updated.

✓b"



"6"

SY6D MOIZ, CO

Trial Balance

June 30, 2010

Account Titles	Debit	Credit
Cash	$3340 + 360$	
Accounts Receivable	$2731 - 360$	
Supplies	$1200 - 620$	
Equipment	$2600 + 620$	
Accounts Payable		$3666 - 360 - 306$
Unearned Revenue		1,100
S. Moiz, Capital		8000
S. Moiz, Drawing	1400	
Service Revenue		$2480 + 801$
Salaries Expense	$3200 + 700 - 600$	
Office Expense	810	
Total	15,381	15,381

(Ans).